

PRISM · PREDICTIVE RESEARCH INTELLIGENCE & SYNTHESIS MACHINE

Hasbro, Inc. (HAS) — Valuation, Forecast & Positioning

A sum-of-parts deep dive: a high-margin games/IP crown jewel bolted to a pressured toy business — where Hasbro should trade, what drives it, and where the price could go.

Ticker HAS Sector Consumer Discretionary As of 2026-07-13 · \$78.96 ROIC 1.6% vs WACC ~9%
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Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). Valuation is mechanical peer arithmetic; forecasts are scenario anchors with wide, partly unquantified uncertainty. Data via yfinance; historical multiples reconstructed from annual statements. Forecast on a near-random-walk series (ADF $p \approx 0.487$); Monte Carlo embeds recovery-period drift. Qualitative sections reflect analyst knowledge and must be re-verified.

EXECUTIVE BRIEF

Hasbro is not really a toy stock; it is Wizards of the Coast (Magic, D&D, and hit mobile licensing) wrapped in a lower-margin, secularly-pressured toy business. Value the parts and it is worth ~\$96–123 if the market credits the games engine with an interactive-entertainment multiple — versus ~\$79 today and a ~\$52–66 floor on toy multiples alone. The catch: returns are the lowest of the peer set (ROIC ~1.6%, below its cost of capital), so this is a re-rate-the-crown-jewel story that still has to prove it on returns.

- Sum-of-parts, not a toy stock: a high-margin games/IP crown jewel (Wizards of the Coast — Magic: The Gathering, D&D, Monopoly Go! licensing) bolted to a lower-margin, secularly-pressured Consumer Products (toy) business. The tension between the two is the whole story.
- Credible fair value ~\$96–123 on a sum-of-parts (Wizards at interactive-entertainment forward multiples + toys at toy multiples) vs ~\$79 today — modest

upside, but the entire case rests on the market crediting Wizards with the premium multiple it currently withholds.

- On toy multiples alone Hasbro is worth ~\$52–66 (downside); today's \$79 sits between the toy floor and the sum-of-parts, i.e. the market already gives Wizards partial credit.
- Low returns are the core issue (Mauboussin): ROIC ~1.6% sits below its ~9% cost of capital and far below Mattel's ~13% — Mattel screens better on both returns AND multiple. This is a low-return business that must lift ROTCE, not merely re-rate.
- Forward P/E ~12.3x is ~17% below the consumer-discretionary peer median; a ~3.5% dividend yield (above peers) offers income support, though the payout is stretched on depressed earnings.
- Tariffs are the swing risk: Hasbro's China-heavy toy sourcing makes it acutely exposed to the 2025–26 tariff regime, and the toy segment's thin margins cannot easily absorb it.
- Technically weak/basing (RSI ~38, price roughly flat vs its moving averages); the 12-month Monte Carlo median is ~\$88 with wide tails.

Confidence: MODERATE

WORKING PAPER

1 · Sector & industry trends

The consumer-discretionary complex is a wide church — autos, retail, restaurants, homebuilders, leisure — and it is being pulled by the health of the consumer, rate expectations and, in 2025–26, tariffs. For Hasbro's corner specifically, three forces matter: the secular pressure on physical toys as play shifts to screens; the boom in games and digital IP monetization (tabletop, collectibles and especially mobile licensing, where Monopoly Go! became one of the highest-grossing mobile titles); and tariffs on China-sourced goods, which hit toymakers harder than almost any other consumer category. The winners in the space are the asset-light, IP-and-licensing models; the losers are the fixed-cost, import-heavy, purely physical ones.

Trend	Direction	Read for HAS
Tabletop & hobby gaming (Magic: The Gathering, D&D)	▲ Tailwind	The crown-jewel growth engine; record Magic demand on 'Universes Beyond' crossovers
Digital & mobile IP licensing (e.g. Monopoly Go!)	▲ Tailwind	High-margin, capital-light royalties that drop almost straight to profit
Entertainment / video-game licensing of core brands	▲ Tailwind	Transformers, D&D, Monopoly monetized across film, TV and games

Physical toy category (screens displacing play)	▼ Headwind	Secular volume pressure on Consumer Products, the larger revenue base
Tariffs on China-sourced goods (2025–26 regime)	▼ Headwind	Hits thin-margin toy sourcing directly; hard to fully pass through
Consumer-discretionary spending (rate-sensitive, soft)	▼ Headwind	Cyclical demand risk, concentrated in the holiday quarter
Retail channel inventories (post-2022–23 destock)	◆ Neutral	Largely normalized — a tailwind that is now mostly spent
Collectibles & direct-to-fan monetization	◆ Mixed	Premium Magic/collector economics grow, but over-printing risks fatigue

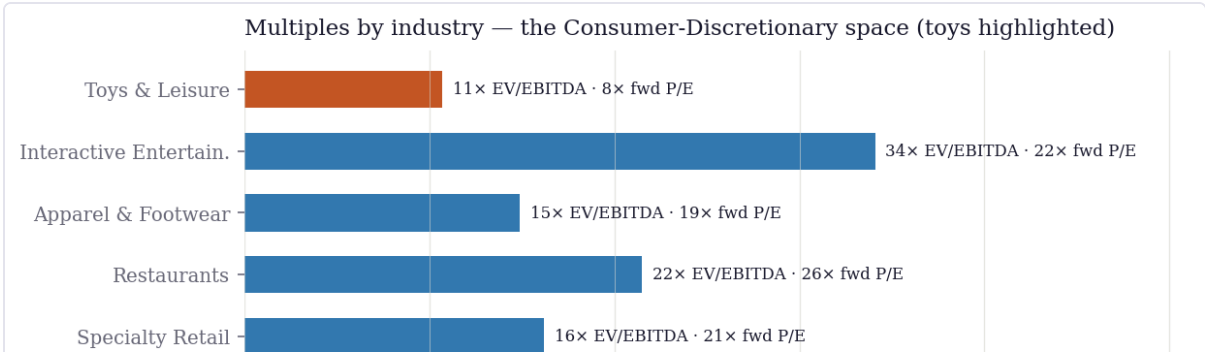
Table 1 — the trends shaping HAS's markets, and what each means for the company.

2 · What is driving HAS

Hasbro's recovery off its 2023 lows is a mix-shift and cost story, not a volume story. The engine is Wizards of the Coast: Magic: The Gathering has posted record results on the back of 'Universes Beyond' crossovers (Final Fantasy, Marvel, Lord of the Rings), D&D remains a durable franchise, and high-margin digital licensing — most visibly Monopoly Go! with Scopely — drops almost straight to profit. Management (CEO Chris Cocks, himself the former head of Wizards) has leaned into this with a games-first 'blueprint,' a ~\$1B cost-savings program, fewer-but-deeper brands, and video-game licensing of core IP. Divesting the eOne film/TV business (to Lionsgate) removed a low-return distraction. The margin recovery this drives — Wizards is a 40%+ operating-margin business against low-teens or worse in toys — is what lifts group returns and, in theory, the multiple.

2a · Multiples by industry — the Consumer Discretionary space

Zooming out to the whole Consumer-Discretionary complex frames the sum-of-parts in one picture. Toys & Leisure is the cheapest corner of the space (~11x EV/EBITDA) while Interactive Entertainment is the most expensive (~34x) — and Hasbro literally straddles the two. That gap is the entire bull/bear debate: the market currently prices Hasbro near the toy end; the thesis is that its games engine belongs closer to the entertainment end.



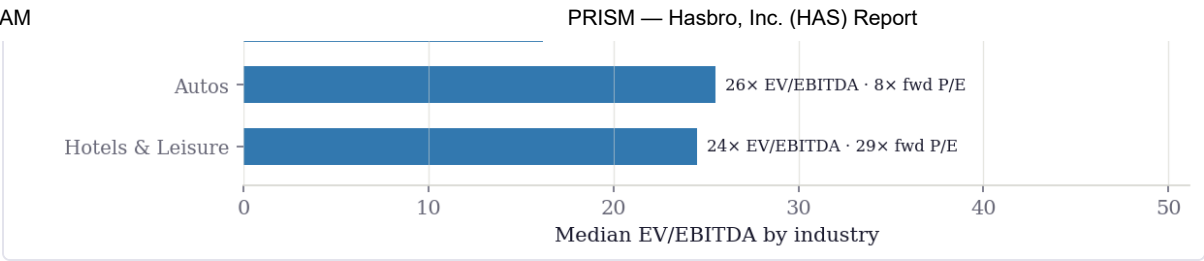


Fig. 1. Median EV/EBITDA by Consumer Discretionary industry (● = HAS's group). HAS straddles the cheapest (toys) and most expensive (interactive entertainment) corners of the space.

Industry	P/E	Fwd P/E	EV/EBITDA	EV/Sales
Toys & Leisure ●	8.5	8.3	10.7	0.99
Interactive Entertain.	58.8	21.6	34.1	6.93
Apparel & Footwear	21.1	18.7	14.9	1.46
Restaurants	32.3	26.0	21.5	4.08
Specialty Retail	24.4	21.3	16.2	2.43
Autos	199.6	7.7	25.5	1.02
Hotels & Leisure	39.4	28.7	24.5	16.16

Table 2 — median multiples by Consumer Discretionary industry.

3 · Valuation — where HAS should trade

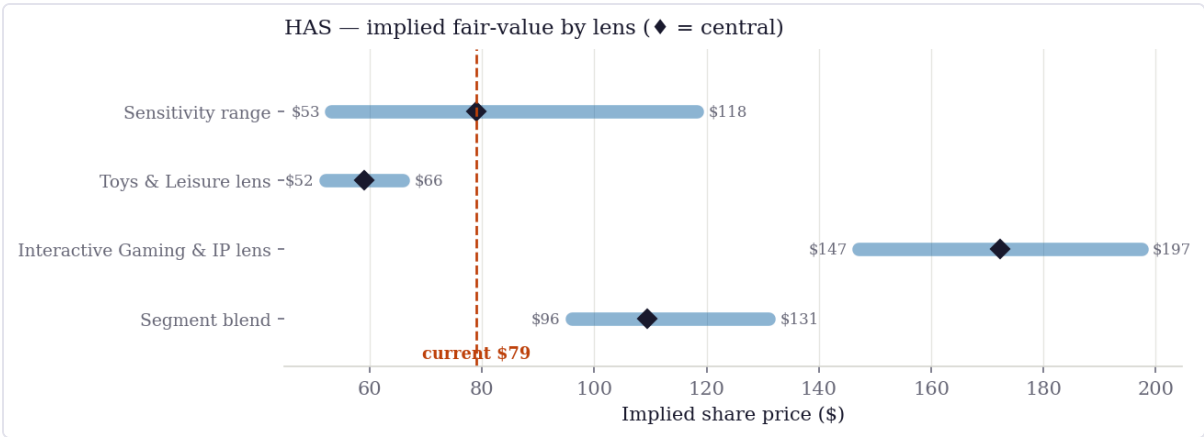
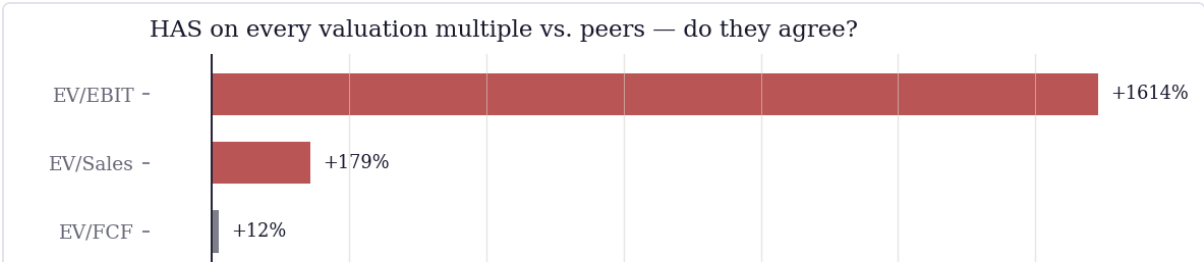


Fig. 2. Implied fair-value by lens; dashed line = current \$79.



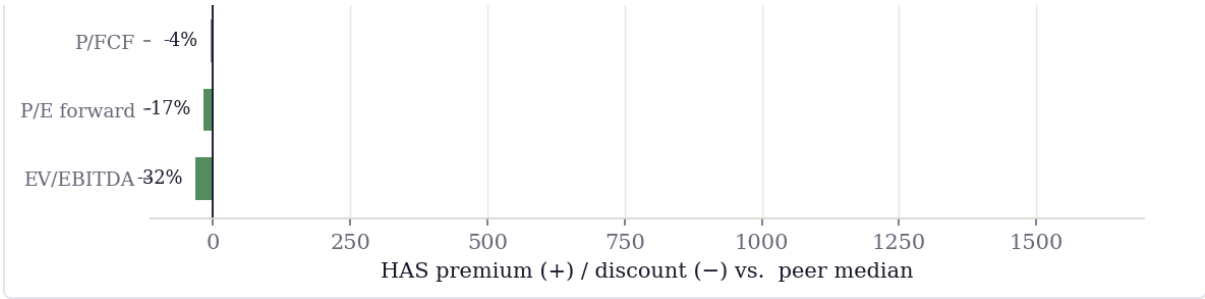


Fig. 3. HAS premium/discount to its subsector peers by valuation multiple.

Metric	HAS	Peer median	Read
P/E trailing	—	20.51	—
P/E forward	12.32	14.93	-17% cheap
EV/EBITDA	10.80	15.81	-32% cheap
EV/EBIT	223.39	13.03	+1614% expensive
EV/Sales	2.85	1.02	+179% expensive
P/FCF	20.39	21.34	in line
EV/FCF	25.03	22.30	in line
Dividend yield	3.55	2.67	+33% expensive

Table 3 — HAS on every multiple vs. peer median.

Lens	EV/EBITDA	Fwd P/E	Implied \$ (EV/EBITDA)	Implied \$ (Fwd P/E)
Toys & Leisure	+15%	+52%	\$66	\$52
Interactive Gaming & IP	-77%	-46%	\$398	\$147

Table 4 — segment-relevant peer lenses, premium/discount and implied prices.

Segment-weighted blend: **revenue-weighted \$96, profit-weighted \$123.**

3a · Sensitivity

EBITDA ↓ / mult →	8×	10×	11×	13×	15×
\$0.9B	\$33	\$46	\$52	\$65	\$77
\$1.1B	\$44	\$60	\$68	\$83	\$99
\$1.27B	\$54	\$72	\$81	\$99	\$117
\$1.5B	\$67	\$88	\$99	\$120	\$141

\$1.7B

\$78

\$102

\$114

\$138

\$162

Table 5 — implied price = (EV/EBITDA × EBITDA − net debt) ÷ shares. Base \$79.

3b · Return on invested capital

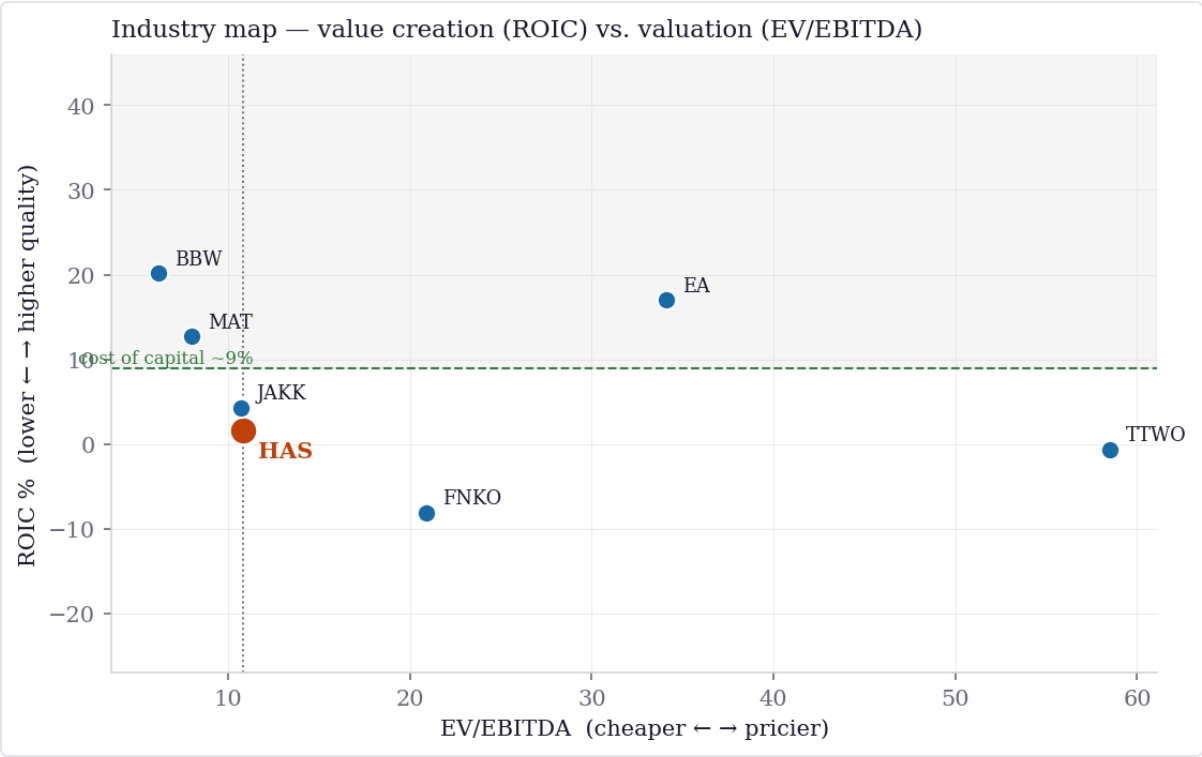
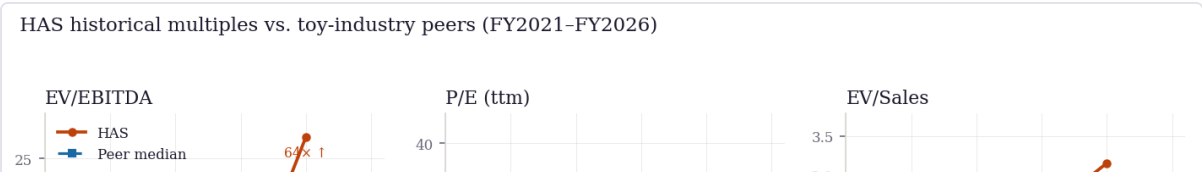


Fig. 4. Value creation (ROIC) vs. valuation (EV/EBITDA). HAS highlighted.

HAS's ROIC is **1.6%** vs. an assumed cost of capital of ~9% — below (a value question). Per Mauboussin (Morgan Stanley, *Valuation Multiples*), the warranted multiple is a function of the ROIC-vs-WACC spread and growth; a low-return business should trade at a modest multiple until returns improve.

3c · Historical multiples vs. industry (FY2021–FY2026)

Hasbro's own history illustrates why the earnings-based multiples mislead. Across the reconstructed window its EV/EBITDA and P/E are distorted or absent in the eOne-impairment and loss years (2022-23, and a depressed-EBITDA 2025), spiking to meaningless levels. EV/Sales is the clean read — and it shows Hasbro trading at a widening premium to its toy peers, exactly what you'd expect as the higher-margin Wizards mix grows. Read the sales line, not the earnings lines, for this company's history.



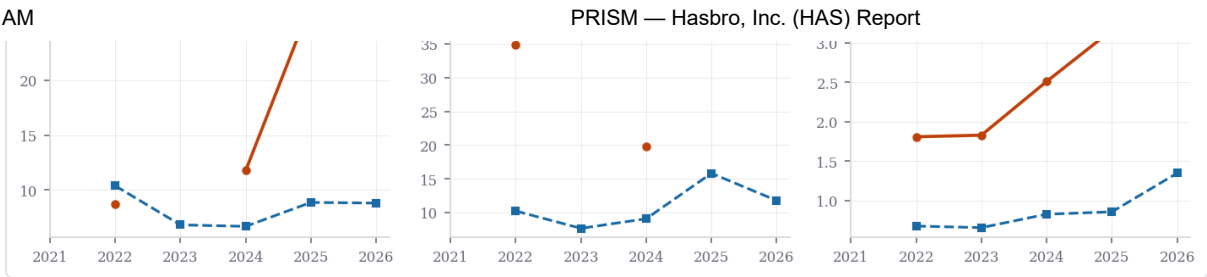


Fig. 5. HAS (orange) vs. its home-industry peer median on EV/EBITDA, P/E and EV/Sales, FY2021–FY2026. Earnings-based multiples are distorted by HAS's impairment/loss years (off-scale points annotated); EV/Sales is the clean read.

FY	HAS EV/EBITDA	Peer	HAS P/E	Peer	HAS EV/Sales	Peer
2021	—	—	—	—	—	—
2022	8.7	10.4	34.9	10.2	1.81	0.68
2023	—	6.8	—	7.7	1.83	0.66
2024	11.8	6.7	19.8	9.1	2.51	0.83
2025	63.9	8.9	—	15.8	3.16	0.86
2026	—	8.8	—	11.8	—	1.35

Table 6 — HAS vs. peer-median multiples by fiscal year. (Earnings-based cells are blank in loss/impairment years.)

4 · Headwinds

The risks cluster on the toy side and the balance sheet. Tariffs are the marquee threat: Hasbro sources a large share of Consumer Products from China, and the 2025–26 tariff regime pressures a segment whose margins are already thin. The toy category faces secular decline as play digitizes, plus retail-inventory and consumer-spending cyclicality. Wizards carries its own risk — over-printing and 'Universes Beyond' fatigue could erode Magic's scarcity and collector economics, and the segment's success raises single-point-of-failure concentration. Financially, leverage taken on for eOne must keep coming down, and the ~3.5% dividend sits on a high payout ratio against depressed GAAP earnings. And the whole re-rating thesis depends on lifting a ROIC that currently sits below the cost of capital.

5 · Technical read

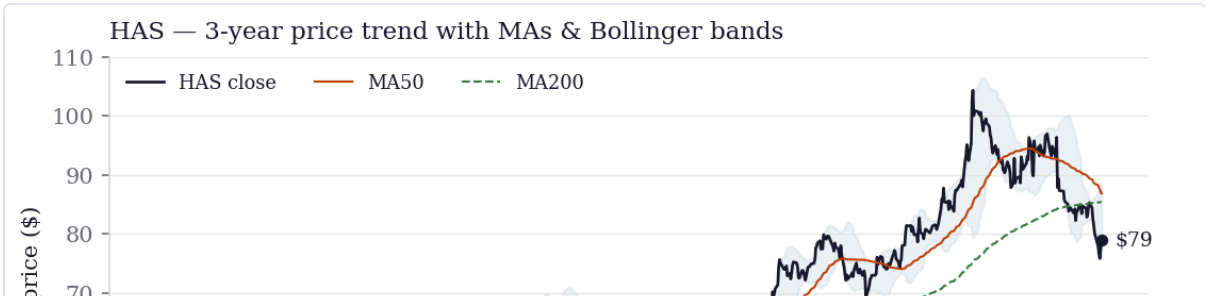




Fig. 6. 3-year price with MA50/200 & Bollinger bands.

Indicator	Reading
MA50 / MA200	\$86.89 / \$85.45 — golden cross
RSI(14)	38.5
Bollinger %B	25% (upper \$88.32)
52-week range	\$69.25–\$104.36 (-24% off high)
Realized vol (90d, ann.)	34.2%

Table 7 — technical dashboard.

6 · Price forecast (1 / 3 / 6 months) — ETS, ARIMA & VAR

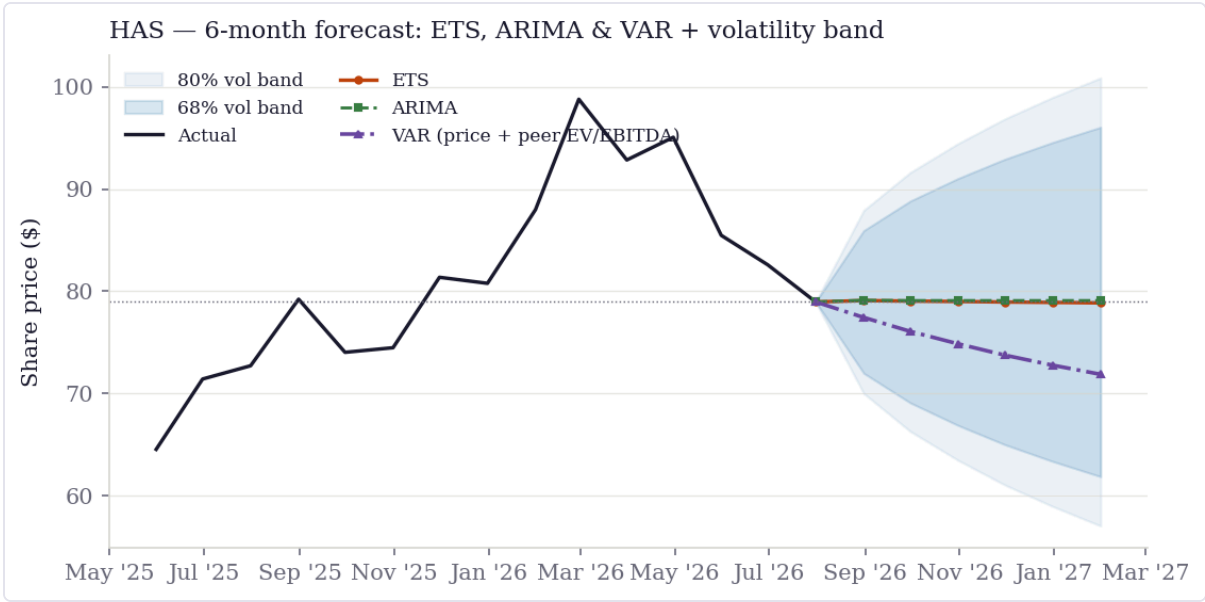


Fig. 7. Three models — ETS (trend), ARIMA (flat), and a VAR on [log price, peer-median EV/EBITDA] in which a historical valuation multiple co-drives the forecast — with a volatility-implied band.

Horizon	ETS	ARIMA	VAR	68% vol band
1 month	\$79	\$79	\$77	\$72–\$86
3 months	\$79	\$79	\$75	\$67–\$91

Horizon	ETS	ARIMA	VAR	68% band
6 months	\$79	\$79	\$72	\$62–\$96

Table 8 — point forecasts (ETS, ARIMA, VAR) and 68% volatility band. Scenario anchors, not predictions.

Reading the models. ETS extrapolates the trend, ARIMA (near random walk) holds ~\$79, and the VAR — tying price to the peer group's EV/EBITDA — drifts toward ~\$72, a mild mean-reversion signal. Together they bracket the range and underline that these are anchors, not predictions.

7 · Monte Carlo & events

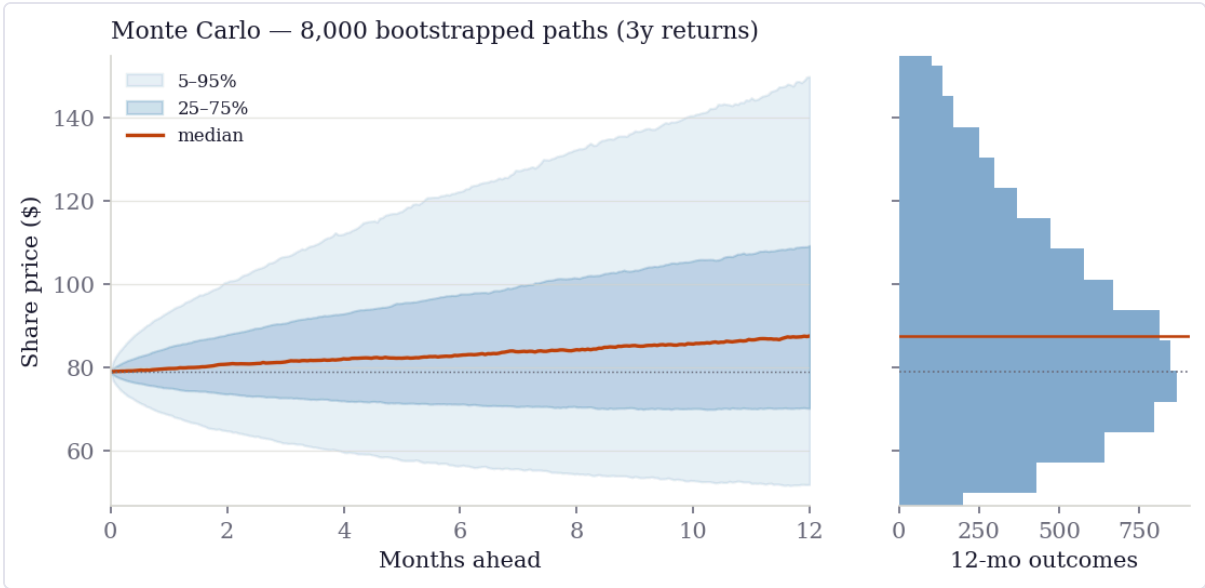
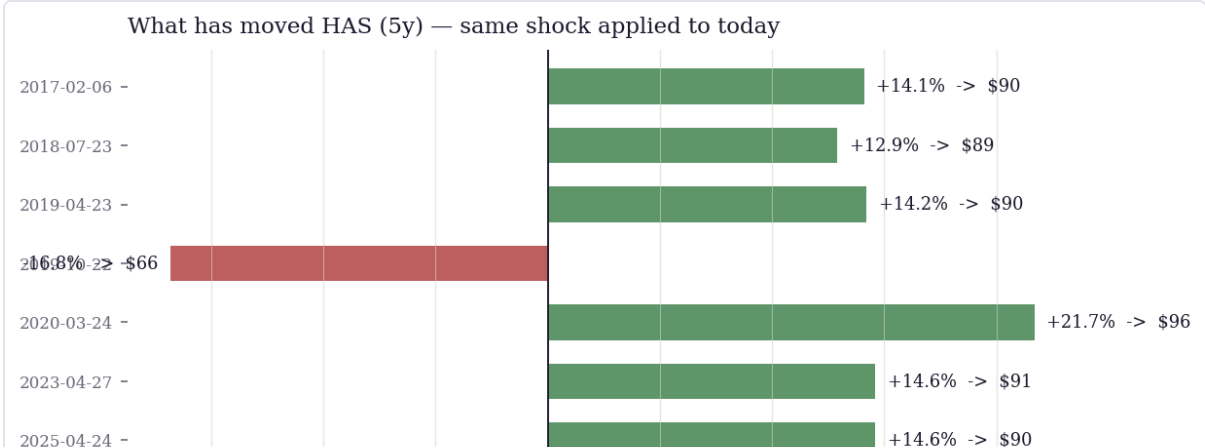


Fig. 8. 10k bootstrapped paths + 12-month distribution.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$56	\$71	\$83	\$98	\$122	58%
12mo	\$52	\$70	\$88	\$109	\$150	62%

Table 9 — Monte Carlo percentiles (embeds recent drift; driftless null ≈ current price).



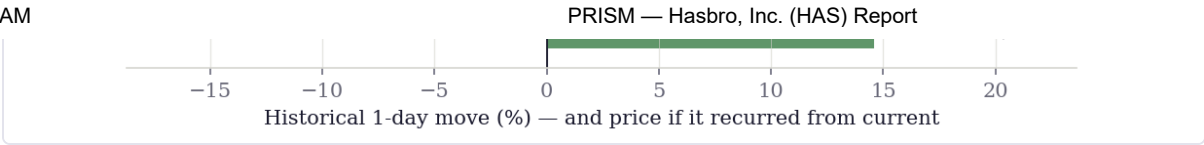


Fig. 9. HAS's largest single-day moves over the past 10y and the price each would imply from today's \$79.

Date	1-day move	Likely catalyst	If repeated from \$79
2017-02-06	+14.1%	Q4'16 earnings beat — strong holiday, girls'/Disney lines	\$90
2018-07-23	+12.9%	Q2'18 beat — recovery after the Toys R Us liquidation	\$89
2019-04-23	+14.2%	Q1'19 earnings beat	\$90
2019-10-22	-16.8%	Q3'19 miss — China tariffs & soft sales	\$66
2020-03-24	+21.7%	COVID-crash market rebound (stimulus rally)	\$96
2023-04-27	+14.6%	Q1'23 beat — cost-cut traction & Wizards strength	\$91
2025-04-24	+14.6%	Q1'25 beat — Magic strength / tariff relief	\$90

Table 10 — the biggest HAS price events (10y window) and their forward echo. Unlike a bank, Hasbro's biggest single-day moves are overwhelmingly idiosyncratic EARNINGS reactions, not macro shocks — a reminder that this is a company-specific, catalyst-driven name. The recurrence prices assume the identical one-day move from today and are illustrative, not forecasts.

8 · Competitive landscape

Hasbro's competitive set splits along its own seam. In toys, Mattel is the chief rival and, post-Barbie, the higher-return, cheaper-valued name — it screens better than Hasbro on both ROIC and EV/EBITDA — while Funko (collectibles) is loss-making, and JAKKS Pacific and Build-A-Bear occupy profitable niches (Build-A-Bear posts a strikingly high ROIC for its size). Privately-held LEGO remains the category's quality benchmark. On the games/IP side, the relevant comps are interactive-entertainment names (Electronic Arts, Take-Two) that trade at far higher multiples — the crux of the sum-of-parts thesis, and the reason activists (notably Alta Fox in 2022) have argued Wizards should be separated or more clearly valued. The strategic question is whether Hasbro is a toymaker with a games arm or a games/IP company with a toy arm; the market currently prices it closer to the former.

9 · SWOT

STRENGTHS

- Wizards of the Coast: Magic & D&D — durable, high-margin, scarce IP
- Deep evergreen brand vault (Monopoly, Nerf, Play-Doh, Transformers, Peppa Pig)
- High-margin digital licensing (Monopoly Go!) that drops to profit
- Games-first management and a ~\$1B cost-savings program

WEAKNESSES

- Lowest ROIC of the peer set (~1.6%, below cost of capital)
- Toy segment: thin-margin, secularly pressured, import-heavy
- Elevated leverage from the eOne era; stretched dividend payout
- Earnings quality dented by impairments and amortization

OPPORTUNITIES

- Sum-of-parts re-rating if Wizards earns an interactive-entertainment multiple
- Video-game and film/TV licensing of core IP (Transformers, D&D, Monopoly)
- Margin expansion as mix shifts toward games + cost cuts land
- Potential structural separation / clearer segment disclosure

THREATS

- Tariffs on China-sourced toys (2025–26 regime)
- Secular decline of physical toys; retail-inventory cyclical
- Magic over-printing / 'Universes Beyond' fatigue eroding scarcity
- Consumer-spending weakness; Mattel and private LEGO competition

10 · Pairs trades to watch

Hasbro's story is idiosyncratic mix-shift, so market-neutral expressions are cleaner than an outright position (illustrative, not recommendations). The sharpest is Long Mattel / Short Hasbro — Mattel currently offers higher ROIC at a lower EV/EBITDA, so it expresses 'pay for returns, not narrative' if you doubt Hasbro's re-rating. The mirror, Long Hasbro / Short Mattel, is the sum-of-parts bet that Wizards gets re-rated. Long Hasbro / Short a richly-valued gaming name (EA, TTWO) partially hedges the 'IP multiple' factor while isolating Hasbro's cheaper entry. Given the weak technical setup (RSI ~38, price basing under its moving averages), a long leg is better added on confirmation of a turn rather than into the current drift, and sized around earnings, Magic set releases and any tariff headlines.

11 · Next steps

- Build a true segment-level sum-of-parts from reported Wizards vs Consumer Products EBIT, rather than applying peer multiples to total EBITDA (which the lens approach necessarily over/understates).
- Model explicit tariff scenarios on Consumer Products gross margin (sourcing mix, price elasticity, mitigation) and flow them to EPS.
- Add a proper CAPM cost of equity and a Wizards-vs-Toys ROIC bridge to quantify the value-

creation gap.

- Track Magic set cadence, Monopoly Go! licensing run-rate, and toy point-of-sale as leading indicators of the mix shift.
- Replace realized-vol forecast bands with options-implied vol; add an event calendar (earnings, major set launches, tariff decisions).
- Reconstruct a clean historical multiple series ex-impairment years from a paid fundamentals feed to see how the games re-rating has progressed.

Scholarly references

The methods rest on an established literature — peer-multiple valuation & comparable-firm selection [1]–[4]; accounting/book-value valuation [5]–[6]; the diversification discount & sum-of-parts [7]–[8]; market efficiency, VAR/time-series and technical/Monte-Carlo methods [9]–[13].

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APPENDIX A — HAS VS. EVERY PEER (FY2021–FY2026)



Fig. A1. HAS (orange) vs. each home-industry peer on EV/EBITDA, P/E and EV/Sales, FY2021–FY2026.

Data-window note. Multiples are reconstructed from annual statements (yfinance, ~5–6 fiscal years);